

NOTE 3 – STAFF COSTS

USDm	2019	2018	2017
Total staff costs			
Staff costs included in operating expenses	8.1	9.3	9.2
Staff costs included in administrative expenses	37.7	36.9	34.6
Total	45.8	46.2	43.8
Staff costs comprise the following			
Wages and salaries	37.2	38.1	36.4
Share-based compensation	1.9	2.1	1.9
Pension costs	3.5	3.3	3.1
Other social security costs	0.9	0.6	0.3
Other staff costs	2.3	2.1	2.1
Total	45.8	46.2	43.8
Average number of permanent employees			
Seafarers	107.6	111.7	130.6
Land-based	313.5	302.2	286.6
Total	421.1	413.9	417.2

Employee information

The majority of the staff on vessels are not employed by TORM. Staff costs included in operating expenses relate to the 108 seafarers (2018: 112, 2017: 131).

The average number of employees is calculated as a full-time equivalent (FTE).

The Executive Director is, in the event of termination by the Company, entitled to a severance payment of up to 12 months' salary.

NOTE 3 - continued

USD '000	2019	2018	2016
Non-Executive Board and Committee Remuneration, short term			
Christopher H. Boehringer	252	276	290
David Weinstein	198	182	174
Torben Janholt	170	171	174
Göran Trapp	170	171	174
Total	790	800	812

Executive Management

USD '000	Salary	Taxable benefits	Annual performance bonus	Total
Executive Management Remuneration				
Jacob Meldgaard				
2017, TORM A/S ¹⁾	923	42	580	1,545
2017, TORM plc ¹⁾	81	-	-	81
2018, TORM A/S ¹⁾	983	44	425	1,452
2018, TORM plc ¹⁾	80	-	-	80
2019, TORM A/S ¹⁾	962	41	1,126	2,129
2019, TORM plc ¹⁾	79	-	-	79

¹⁾ Paid by legal entity as noted.

Key management personnel consists of the Board of Directors and the Executive Director.

Senior Management Team

The aggregate compensation paid by the Group to the other members of the Senior Management Team (excluding Mr. Meldgaard) was USD 1,736,750 (2018: USD 2,186,679, 2017: USD 1,987,726), which includes an aggregate of USD 115,880 (2018: USD 125,959, 2017: USD 112,236) allocated for pensions for these individuals.